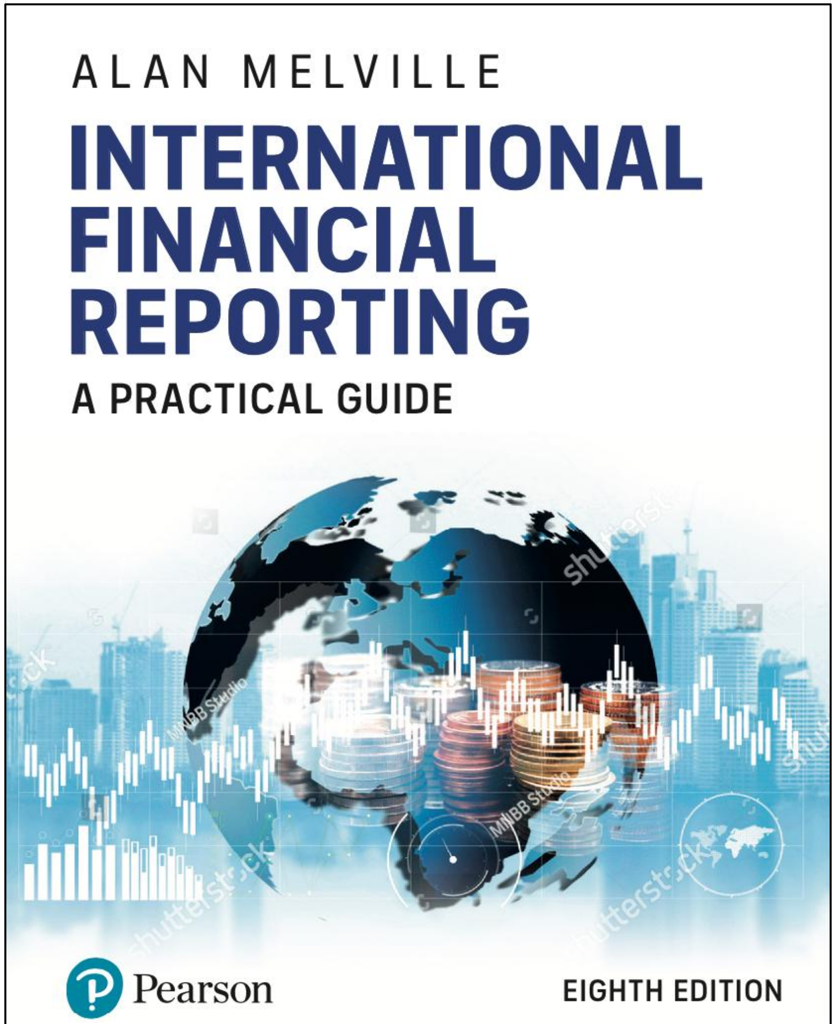
International Financial Reporting

Alan Melville (8th edition)



Chapter 1

The regulatory framework

Overview

- The need for regulation
- Sources of regulation
- Generally accepted accounting practice
- The IASB
- The standard-setting process
- Structure of an international standard
- Purpose of accounting standards
- Worldwide use of IFRS Standards
- First-time adoption of IFRS Standards
- The ISSB

The need for regulation

- Companies are owned by shareholders but managed by directors
- Most shareholders of larger companies have no day-to-day involvement with the company
- Shareholders rely upon financial reports for information to help them make important decisions
- Regulations try to ensure that financial reports provide a faithful representation
- Similarly, creditors and other user groups may rely heavily on financial reports for information

Sources of regulation

- Legislation (varies from country to country)
  - broad rules
  - Companies Act 2006 in UK
- Accounting standards:
  - detailed rules
  - national standards
  - international standards
- Stock exchange regulations (listed companies)
  e.g. requirement to publish quarterly figures

Generally accepted accounting practice (GAAP)

- GAAP is the complete set of accounting regulations (from all sources) and accounting conventions that apply in a certain jurisdiction e.g. UK GAAP, US GAAP etc.
- The term "international GAAP" refers to the standards issued by the IASB and the principles on which those standards are based

The International Accounting Standards Board (IASB)

- Develops and amends international standards
- 14 members chaired by Andreas Barkow
- Responsible to the IFRS Foundation, which aims to develop global standards and promote their use
- The IFRS Advisory Council provides broad strategic advice to the IASB
- The IFRS Interpretations Committee interprets international standards and provides guidance on matters not covered by standards

The standard-setting process

- Identification of issues affecting the topic area
- Application of the *Conceptual Framework*
- Study of national accounting requirements in relation to the topic
- Publication of discussion document and consideration of comments
- Publication of exposure draft and consideration of comments
- Publication of standard

Structure of an international standard

- Introduction
- Objectives and scope
- Definitions
- Body of the standard
- Effective date and transitional provisions
- Formal approval by the IASB and any dissenting opinions
- Basis for conclusions
- Application/implementation guidance and/or illustrative examples

Purpose of accounting standards

- Standards reduce variation in accounting practice and introduce a degree of uniformity into financial reporting
- Standards make it more likely that financial statements will provide a faithful representation of an entity's financial performance and position
- Meaningful comparisons may be drawn over time and between entities
- IASB *Conceptual Framework* stresses the importance of faithful representation and comparability

Worldwide use of IFRS Standards

- Required for listed companies in over 140 countries (including all EU countries)
- UK requires listed companies to apply IFRS standards approved by UK Endorsement Board (UKEB)
- USA has not yet adopted IFRS Standards but the US FASB and the IASB have worked together on convergence projects
- Over 80 countries have adopted the *IFRS for SMEs* Standard (unlisted companies)

IFRS1 *First-time Adoption of IFRS Standards*

- The "first IFRS reporting period" is the period covered by the first IFRS financial statements
- The "date of transition" is the date at the start of the earliest period for which comparatives are provided in the first IFRS financial statements
- Need to prepare an opening IFRS statement of financial position as at the date of transition
- Must use the same accounting policies in the opening IFRS statement of financial position and in all periods presented in the first IFRS financial statements; these policies must comply with all international standards in force at the end of the first IFRS reporting period
- Certain reconciliations are required.

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The International Sustainability Standards Board (ISSB)

- Formed in November 2021 to develop a global set of high-quality sustainability disclosure standards
- ISSB standards will result in globally comparable sustainability reporting and will help investors and lenders to assess the environmental risks and opportunities faced by companies
- 14 members (with a broad geographical balance)
- Responsible to the IFRS Foundation and works in close co-operation with the IASB